

Assuming AMECO had satisfied its initial burden, there are still disputes of material fact, as highlighted by plaintiff's response to the SSUMF (see Fact Nos. 86, and plaintiff's response) and AMECO's own responses to plaintiff's Additional Material Facts, many of which AMECO concedes are "disputed." Inclusion of any fact in the separate statement concedes the materiality of that fact. (See *Insalaco, supra*, 49 Cal.App.5th at 521 and *Nazir, supra*, 178 Cal.App.4th at 252.)

Summary adjudication is denied as to the second cause of action.

D. Issue No. 3 – Breach of Implied Warranty

AMECO contends that the third cause of action fails because it was not in privity with plaintiff. AMECO cites case law which states that "[p]rivacy of contract is a prerequisite in California for recovery on a theory of breach of implied warranties of fitness and merchantability." (*Blanco v. Baxter Healthcare Corp.* (2008) 158 Cal.App.4th 1039, 1058-1059.) Notably, none of the facts in the SSUMF state that there was *no* privity with plaintiff.

While this particular fact would likely not have been disputed, such a fact is fundamental to showing that lack of privity bars the claim. Plaintiff's opposition raises, for the first time, a theory pursuant to Commercial Code section 10213, specifically relating to an implied warranty for a particular purpose in rental transactions. This section was not originally pleaded, but plaintiff did plead "under the law of warranties as expressed in the Uniform Commercial Code." Plaintiff may not, and need not, amend. AMECO had the burden of isolating the facts and theories on which plaintiff will rely in order to show a lack of any material disputes.

Summary adjudication is therefore denied as to the third cause of action.

E. Issue No. 4 – Negligence

As to the fourth cause of action for general negligence, the reasons discussed above for denial of summary adjudication with respect to negligent products liability apply with equal force to this theory, which may or may not be duplicative (since a plaintiff may not recover the same damages twice, duplication poses no risk for the purposes of trial). The assertions made by AMECO in the moving papers fail to address plaintiff's actual theory (which may include, but is not limited to failing to conduct a reasonable inspection of the equipment prior to the rental).

Summary adjudication is therefore denied as to the fourth cause of action.

F. Additional Material Factual Disputes

Many of AMECO's own responses to plaintiff's Additional Material Facts contend the facts are "disputed." Such a designation, without mention of the materiality or lack thereof, concedes materiality.

Accordingly, the motion for summary judgment must be denied.

23. 9:00 AM CASE NUMBER: MSC21-00588

CASE NAME: SHARMA VS. ARS ALEUT CONSTRUCTION

HEARING ON SUMMARY MOTION JUDGMENT RE NORCAL'S AND PETERSON HOLDING COMPANY'S CLAIMS

FILED BY: AMERICAN EQUIPMENT COMPANY

TENTATIVE RULING:

Defendant American Equipment Company, Inc. (aka AMECO) moves for summary judgment or summary adjudication with respect to the amended cross-complaint by defendant and cross-complainant, Norcal Rental Group, LLC ("Norcal") and the cross-complaint by defendant and cross-complainant Peterson Holding Company ("Peterson"). The motion is **denied**, as discussed below.

I. Background

Plaintiff Shalini Sharma was working as a heavy equipment operator for ARS Aleut Construction LLC, Inc. ("ARS") on a construction project at the Military Ocean Terminal Concord ("MOTCO") when she was injured by a large piece of glass that fell out of the cab door of a grader she was operating. The grader had been procured by third party, AMECO, for ARS's use. AMECO had obtained the grader from another third party, NorCal (DBA Cresco). The grader was manufactured by Caterpillar and owned by Peterson.

Plaintiff initially filed suit against ARS in Contra Costa County in March 2021 to recover for her injuries. She later added Norcal, Peterson, and AMECO. In response, Norcal cross-complained against AMECO alleging a single cause of action for express indemnity. Peterson also cross-complained against AMECO alleging equitable indemnity, contribution, and declaratory relief. AMECO cross-complained against Norcal and ARS.

II. Motion and Oppositions

AMECO purports to move for summary judgment or, in the alternative, summary adjudication, with respect to both Norcal and Peterson on separate pleadings. In fact, the motion is three motions combined into one. The first motion is from AMECO's position as cross-defendant, and relates to Norcal's cross-complaint alleging a single cause of action for indemnity. The second motion, also from AMECO's position as cross-defendant, relates to Peterson's cross-complaint containing three causes of action. The third motion is from AMECO's position as cross-complainant on its cross-complaint against Norcal containing seven causes of action, only one of which is argued in the motion. The specific issues are laid out in the Separate Statement of Undisputed Material Facts ("SSUMF") as follows:

- 1) ISSUE NO. 1: NORCAL CANNOT ESTABLISH ITS CLAIM FOR BREACH OF AN IMPLIED INDEMNIFICATION AGREEMENT AGAINST AMECO
- 2) ISSUE NO. 2: AMECO IS ENTITLED TO A DECLARATORY JUDGMENT AGAINST NORCAL ON AMECO'S CROSS-COMPLAINT (SEVENTH CAUSE OF ACTION)
- 3) ISSUE NO. 3: PETERSON CANNOT ESTABLISH ITS FIRST CAUSE OF ACTION FOR EQUITABLE INDEMNITY AGAINST AMECO
- 4) ISSUE NO. 4: PETERSON CANNOT ESTABLISH ITS SECOND CAUSE OF ACTION FOR CONTRIBUTION AGAINST AMECO
- 5) ISSUE NO. 5: PETERSON CANNOT ESTABLISH ITS THIRD CAUSE OF ACTION FOR DECLARATORY RELIEF AGAINST AMECO

In support of the motion, AMECO provides the SSUMF, a declaration from its the Vice President of Finance, and a declaration from counsel which attaches various litigation documents filed in this Court and in the U.S. District Court for the Northern District of California, documents provided in discovery, and excerpts of various deposition transcripts.

Norcal opposes the motion. It argues the motion is untimely and that there are disputes of material fact that require denial of the motion. In support of the opposition, Norcal submits a declaration from counsel, Allison N. Steward, which attaches excerpts of deposition transcripts as well as documents provided in discovery. Norcal responds to the SSUMF, provides its own additional material facts, and objects to evidence provided by AMECO.

Peterson also opposes the motion, arguing that AMECO fails to meet its initial burden, but even if it had, there are clear disputes of fact which include which terms control the indemnity claims and whether Peterson knew AMECO would be re-renting the equipment.

Peterson offers its response to the SSUMF which notes multiple “disputes” with respect to the facts set forth by AMECO. Instead of citing evidence to support these disputes, Peterson cites its own additional facts. This is *not* in compliance with the summary judgment statute or California Rules of Court, which require citations to evidence. (Code Civ. Proc., § 437c (b)(3); Cal. Rules of Court, Rule 3.1350 (f)(2).) This approach obfuscates whether there is actually a dispute of fact (contrary to the policy behind the separate statement requirement, which is to make the Court’s job easier, not harder). As an additional remark to counsel for Peterson, the deposition transcripts submitted in support of the opposition are not highlighted or marked in any way and, in fact, appear to include all pages and indices. This is not in compliance with the California Rules of Court which explicitly state that only relevant pages must be attached and relevant portions highlighted. (Cal. Rules of Court, rule 3.1116(b)-(c).) Counsel for Peterson is cautioned to follow these rules in the future.

Peterson also provides its own statement of additional facts. In support, Peterson provides a declaration from its counsel which attaches excerpts from deposition transcripts of various individuals, invoices from Norcal, and the Terms and Conditions Norcal contends it sent to AMECO. Peterson also objects to AMECO’s evidence, as further mentioned below.

In reply, AMECO provides a supplemental declaration from its attorney which attaches additional deposition testimony and photographs. AMECO also provides a statement in response to the additional facts offered by both Norcal and Peterson.

III. Evidentiary Matters

Peterson’s objections to the Declaration of Morgan Tiller, the Vice President of Finance for AMECO, based on lack of foundation, are **sustained**. (Volume of Evidence 3 of 3 in Support of Motion, Ex. K [Declaration of Morgan Tiller].) The only foundational evidence in the declaration is in the first paragraph and is insufficient to provide the necessary background. (*Mamou v. Trendwest Resorts, Inc.* (2008) 165 Cal.App.4th 686, 692, fn. 1; see also *Roy Brothers Drilling Co. v. Jones* (1981) 123 Cal.App.3d 175, 182, 176 Cal. Rptr. 449 [requirements of Code Civ. Proc., § 437c, subd. (d), are not met merely by reciting the conclusion the declarant can competently testify; the declaration must set forth facts establishing the declarant's competence].)

IV. Standard

To be entitled to judgment as a matter of law, a party must show by admissible evidence that the action has no merit or that there is no defense. (Code Civ. Proc., § 437c, (a)(1), (d).)

A plaintiff (or cross-complainant) must show by admissible evidence each element of the cause of action entitling the party to judgment on the cause of action. (Code Civ. Proc., § 437c (p)(1).) On the other hand, a defendant or cross-defendant meets its burden of showing that a cause of action has no merit if it shows that one or more elements of the cause of action, even if not

separately pleaded, cannot be established, or that there is a complete defense to the cause of action. (Code Civ. Proc., § 437c (p)(2).) Once the moving party has met its burden, the burden shifts to the opposing party to show that a triable issue of one or more material facts exists. (*Id.* at subd.(p)(1)-(p)(2).)

Although the burden of production shifts, the moving party always bears the burden of persuasion. (*Aguilar v. Atlantic Richfield* (2001) 25 Cal.4th 826, 850.) We strictly construe the moving party's evidence and liberally construe the opposing party's evidence. (*Gafcon Inc. v. Ponsor & Associates* (2002) 98 Cal.App.4th 1388, 1402) without weighing the evidence or conflicting inferences. (*Aguilar, supra*, 25 Cal.4th at 856; Code Civ. Proc., § 437c, subd. (c); *Woodridge Escondido Property Owners Ass'n. v. Nielsen* (2005) 130 Cal.App.4th 559, 567-568.)

A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c (f)(2).)

V. Discussion

A. Denial on Procedural Grounds

Norcal argues the motion is untimely and should not be entertained on its merits. The summary judgment statute does require that the motion “shall be heard no later than 30 days before the date of trial, unless the court for good cause orders otherwise.” (Code Civ. Proc., § 437c (a)(3).)

AMECO asserts that the date was scheduled by the Court and therefore good cause has already been established for a hearing within 30 days of trial. Limited availability for MSJ hearings further delayed the hearing an additional week (instead of April 16, the motion is now being heard on April 23).

Because AMECO’s motion was filed and served more than 80 days prior to the hearing, sufficient notice as required by the summary judgment statute *was* provided. The Court’s own scheduling limitations constitute good cause for the setting of the hearing within 30 days of trial.

However, the motion *does* suffer from significant procedural flaws. AMECO here challenges two separate pleadings and seeks judgment on its own cross-complaint’s cause of action for declaratory relief. The specific issues are not set forth in the notice, however, as required by the California Rules of Court. (Cal Rules of Court, Rule 3.1350(b).) The purported issues *are* laid out in the Separate Statement of Undisputed Material Facts (“SSUMF”) as follows:

- 6) ISSUE NO. 1: NORCAL CANNOT ESTABLISH ITS CLAIM FOR BREACH OF AN IMPLIED INDEMNIFICATION AGREEMENT AGAINST AMECO (this issue is based on Fact Nos. 1-62)
- 7) ISSUE NO. 2: AMECO IS ENTITLED TO A DECLARATORY JUDGMENT AGAINST NORCAL ON AMECO’S CROSS-COMPLAINT (SEVENTH CAUSE OF ACTION) (this issue is based on Fact Nos. 63-101)
- 8) ISSUE NO. 3: PETERSON CANNOT ESTABLISH ITS FIRST CAUSE OF ACTION FOR EQUITABLE INDEMNITY AGAINST AMECO (this issue is based on Fact Nos. 102-141)
- 9) ISSUE NO. 4: PETERSON CANNOT ESTABLISH ITS SECOND CAUSE OF ACTION FOR CONTRIBUTION AGAINST AMECO (this issue is based on Fact Nos. 142-190)
- 10) ISSUE NO. 5: PETERSON CANNOT ESTABLISH ITS THIRD CAUSE OF ACTION FOR

DECLARATORY RELIEF AGAINST AMECO (this issue is based on Fact Nos. 191-239)

This posture leads to confusion and compels denial on procedural grounds.

“A party may move for summary judgment *in an action* or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding,” or “a party may move for summary adjudication as to one or more causes of action *within an action*.” (Code Civ. Proc., § 437c, subds. (a)(1) & (f)(1), emphasis added.) These references to “an action” in the summary judgment statute are singular references. The word “action” is defined as “an ordinary proceeding in a court of justice by which one party prosecutes another [...]” (Code Civ. Proc., § 22, emphasis added.)

No authority, of which this Court is aware, permits a party to challenge two separate cross-complaints (aka actions) via one motion, and also seek declaratory relief on its own cross-complaint (aka action). (See *Westamerica Bank v. MBG Industries, Inc.* (2007) 158 Cal.App.4th 109, 134 [discussion in context of 998 offers noting that where complaint and a cross-complaint are both pending, there are actually two separate simultaneous actions pending].)

Further, the motion here does not necessarily seek “summary adjudication in the alternative,” as permitted by section 437c. Code of Civil Procedure section 437c(f)(2) provides, in relevant part, “[a] motion for summary adjudication may be made by itself *or as an alternative to a motion for summary judgment* and shall proceed in all procedural respects as a motion for summary judgment.” (Emphasis added.) Here, while the motion purports to be made in the alternative, it requests both summary adjudication and summary judgment as to separate pleadings. For example, the cross-complaint by Norcal *only* asserts an equitable indemnity cause of action and a grant of the motion with respect to that cross-complaint would actually be summary judgment (because completely resolving Norcal’s equitable indemnity cause of action would end all claims by Norcal), but AMECO’s first six causes of action would still be at issue because they are not even raised by this motion so the motion can only be considered one for summary adjudication as to AMECO’s affirmative claims.

AMECO improperly combines at least three motions into one, without complying with summary adjudication notice requirements. Since the Opposition documents largely ignore this procedural issue and cross-complainants have opposed the motion on the merits, the Court briefly discusses the merits below.

B. Merits Discussion

1. Issue No. 1: Norcal’s Cross-Complaint

AMECO seeks to show Norcal cannot prevail on its claim for express contractual indemnity because Norcal never communicated the terms and conditions on which this claim is based. Accordingly, Norcal’s terms never became a part of the contract between the entities. Ameco’s argument on this issue is based on Fact Nos. 1-62.

AMECO relies on various facts which *suggest*, but do not definitively *establish*, that it never received the terms and conditions necessary to Norcal’s claim. (See SSUMF Fact Nos. 11, 17, 43.) Fact Number 43 states, “There is no evidence that NorCal ever provided to AMECO the ‘terms and conditions’ that it contends governs the rental of the grader except as a standalone document in discovery.” This fact is not supported by the evidence cited, which is an excerpt of a deposition transcript of Aaron Veuve, who appears to be an employee of Norcal. He testifies that generally Norcal’s original invoices are two-sided and copies are one-sided, but he does not appear to have

been the person who sent the document nor is any foundation laid for his knowing whether AMECO (a separate company) ever received the terms and conditions.

Because AMECO does not definitively show that it never received the terms and conditions, the Court cannot conclude that AMECO is entitled to judgment on this issue. However, it may be worth mentioning that, had AMECO successfully shifted the burden of production here, Norcal's purported dispute is also insufficiently supported by its evidence. Norcal offers its own allegations (§§15-6 of its cross-complaint) concerning an "implied in fact" contract allegedly arising from Norcal's "quote/offer and invoices" that "contained and incorporated written Terms and Conditions on the reverse side." But in opposing summary judgment, a "cross-complainant shall not rely upon the allegations [...] of its pleadings to show that a triable issue of material fact exists [...]" (Code Civ. Proc., § 437c (p)(2).) While Norcal also cites an excerpt from the Deposition of Patrick Michael Puccinelli, the cited testimony does not support that AMECO ever received Norcal's terms and conditions.

Still, the motion must be denied for AMECO's failure to shift the burden to Norcal. Further, AMECO's own responses to Norcal's Additional Material Facts assert many of the facts are "disputed." Such a designation concedes materiality and a dispute.

2. Issue No. 2: AMECO's Cause of Action for Declaratory Relief Against Norcal (Seventh Cause Of Action)

As a second "issue" on which AMECO seeks summary adjudication, AMECO asserts entitlement to judgment on its seventh cause of action for declaratory relief which states, in relevant part, that it is entitled to be fully indemnified by "cross-defendants" (which include Norcal) pursuant to their express written contracts with AMECO.

Norcal argues the procedural posture is grounds for denial. (See Norcal's Memorandum in Support of Opposition, 6:15-7:2.) The Court has already set forth why multiple pleadings cannot be determined in one motion such as the present motion.

Judgment on this "issue" would also be improper as the allegations at issue are integral to other causes of action asserted in AMECO's cross-complaint. A party may not obtain a summary adjudication of the declaratory relief cause of action while ignoring its effect as to the other substantive causes of actions. If it could, the result would fully subvert the restrictions of Code Civ. Proc., § 437c, subd. (f)(1). (*Hood v. Superior Court* (1995) 33 Cal.App.4th 319, 321 [the statute requires that summary adjudication completely dispose of the cause of action, affirmative defense, claim for damages, or issue of duty].)

Summary adjudication as to the second issue is denied.

3. Issue Nos. 3-5 Peterson's Cross-Complaint

AMECO argues that Peterson's causes of action fail, but does not attempt to separately argue them. Instead, it asserts that none have merit because, at least in part, "NorCal and Peterson both knew AMECO was going to re-rent the grader." This issue in dispute (see Additional Material Fact No. 1 and AMECO's Reply). Similarly, AMECO's own responses to other additional facts offered by Peterson label many of the facts as "disputed." Such a designation concedes materiality and a dispute.

The Court need not further explore the merits to the arguments against Peterson. Summary adjudication as to the third through fifth issues is denied.